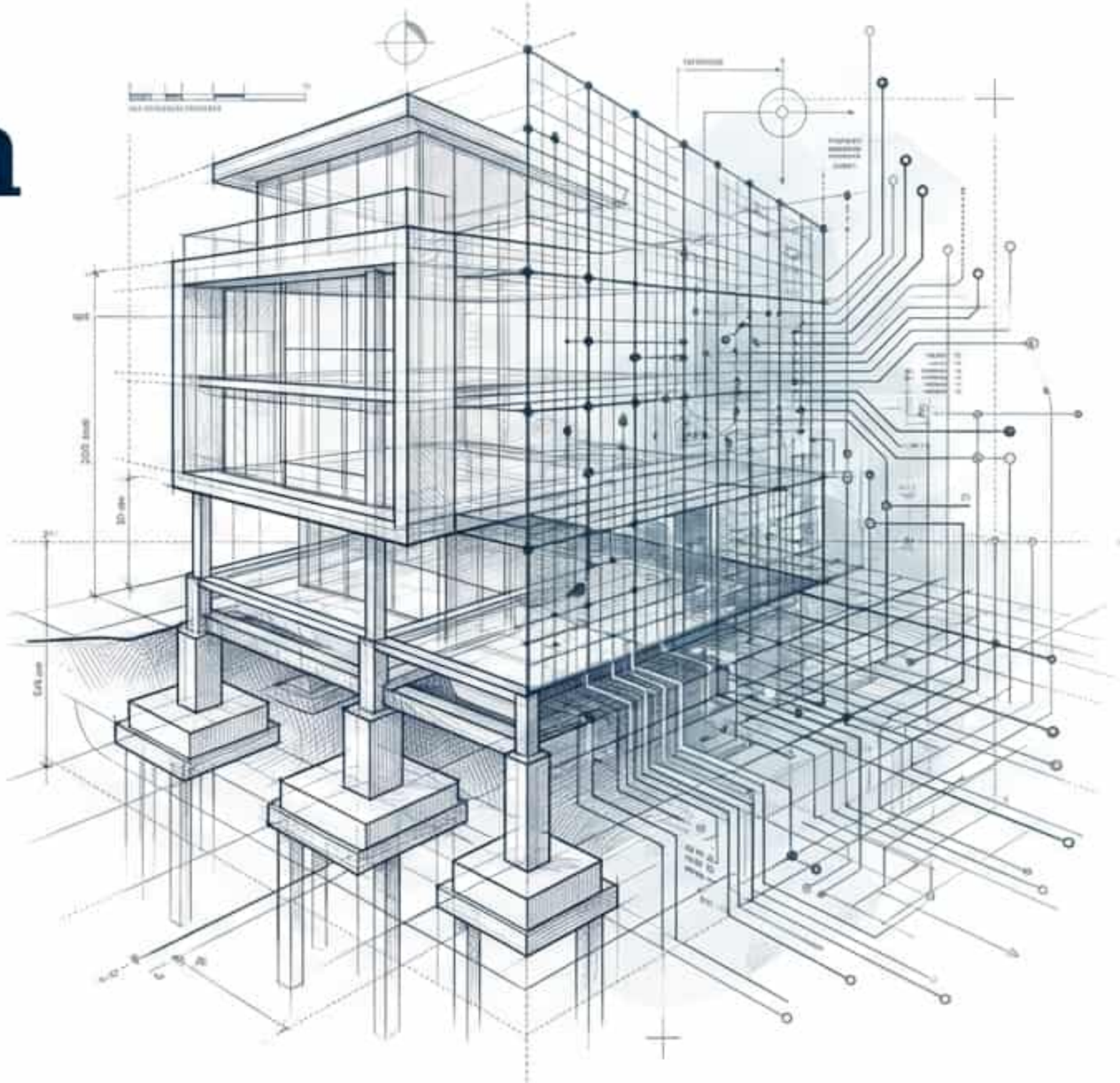
Building Trust in Sustainability

The Convergence of COSO, Technology, and Integrated Assurance

A STRATEGIC BLUEPRINT FOR INVESTOR-GRADE ESG REPORTING AND RISK MANAGEMENT



Internal Advisory & Strategy Document

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The era of voluntary ESG is ending; the age of ‘Reasonable Assurance’ has begun.

Sustainability reporting is transitioning from a **marketing exercise** to a **rigorous financial discipline**. To survive the shift to mandatory regimes (CSRD, SEC), organisations must fuse three critical elements:

> **Sustainability data must now be treated with the same rigour, auditability, and controls as financial data. Trust is the new currency of capital markets.**

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Sustainable business information must mature to meet the standards of financial reporting

The Gap

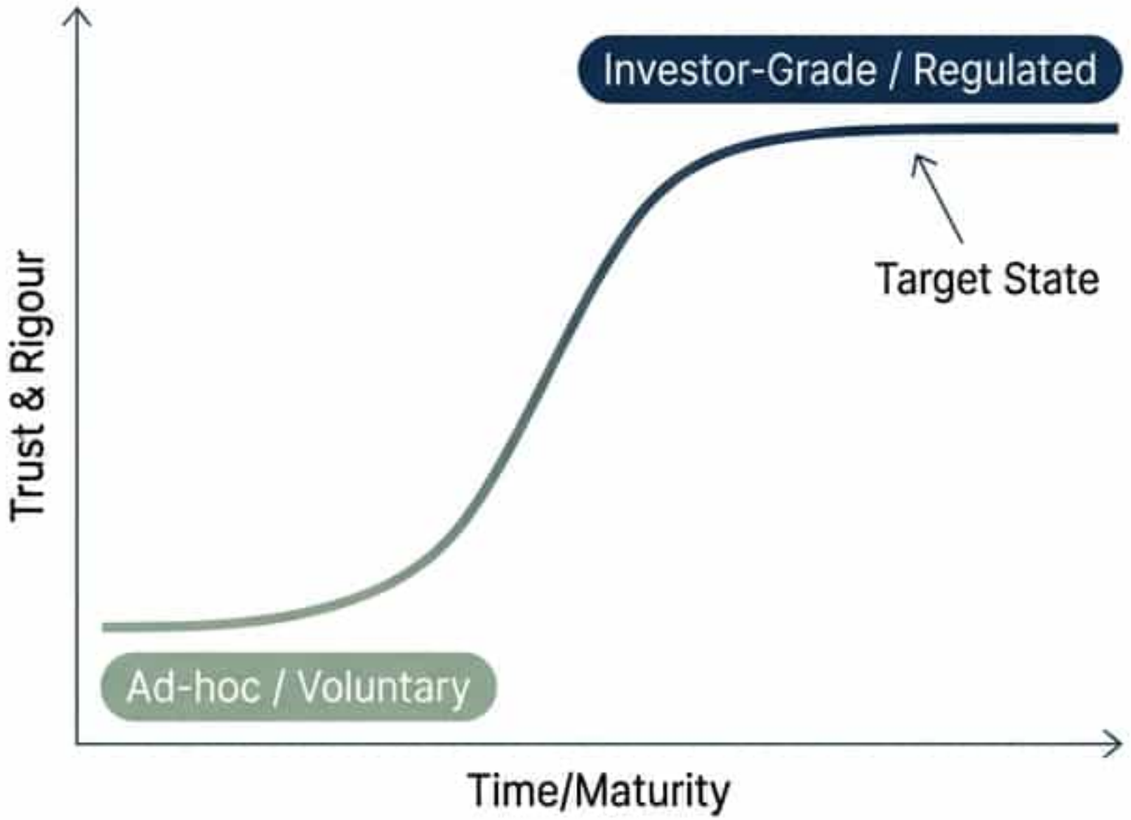
Financial Reporting: Mature, structured, governed by SOX/GAAP, high trust.

Sustainability Reporting: Immature, unstructured (spreadsheets/email), reliant on estimates, historically voluntary.

The Driver

Regulatory Acceleration: Shift from voluntary (SASB, GRI) to mandatory legislation (CSRD, ISSB, SEC).

The Goal: Moving from "Limited Assurance" (broad review) to "Reasonable Assurance" (audit-grade certainty).



By 2020, intangible assets (brand, reputation, IP) comprised over 90% of market value, making non-financial data critical for preventing value erosion.

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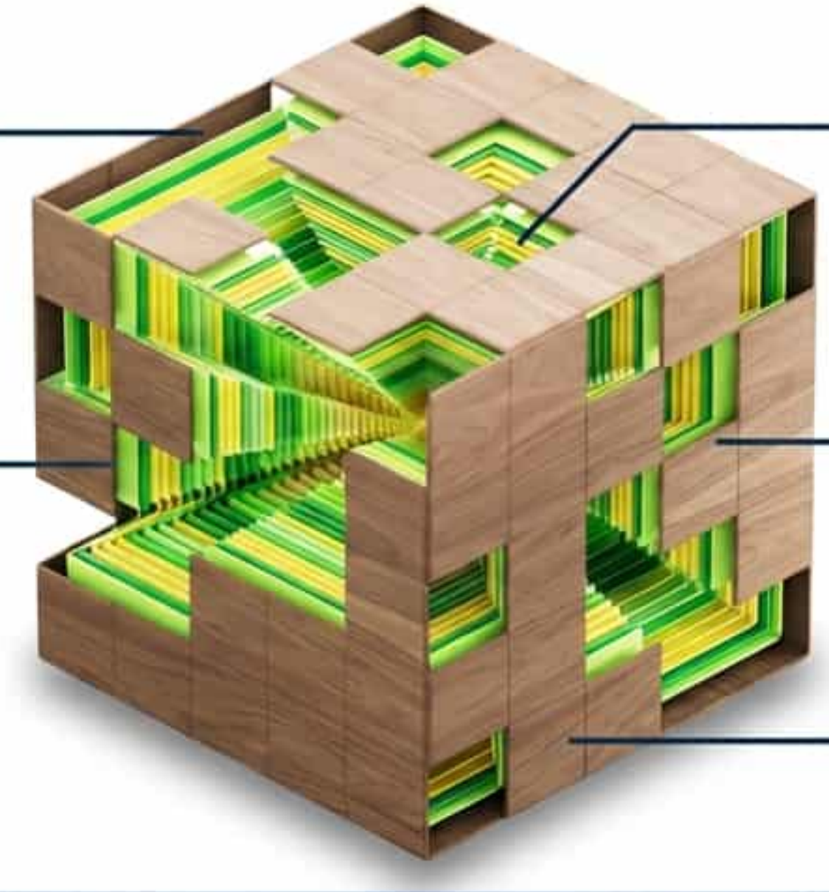
The COSO Framework provides the discipline required for Internal Control over Sustainability Reporting (ICSR).

1. Control Environment
(Tone at the top, integrity)

2. Risk Assessment
(Climate & Social risks)



3. Control Activities
(Policies & IT verifications)

4. Information & Communication
(Quality data flows)

5. Monitoring Activities
(Addressing deficiencies)

> **COSO ICIF-2013 is the premier tool for operationalising ESG, ensuring data is accurate, complete, and decision-useful.**

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Governance is culture: Establishing 'Tone at the Top' and cross-functional oversight

Case Study: Vita Coco (Certified B Corp)

Appointed a Chief Strategy & Sustainability Officer to the senior team, signalling that sustainability is sustainability is core to the mission, not a side project.

Boardroom Question

Q:
Does our Audit Committee have the necessary expertise to oversee climate-related financial disclosures?

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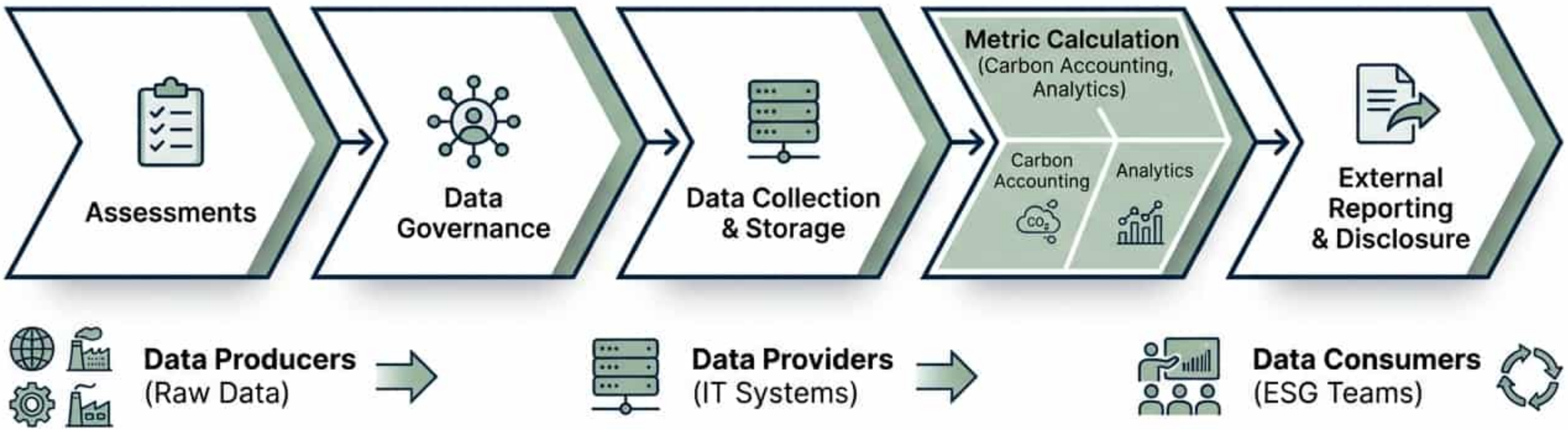
New regulations like CSRD require a shift from “Excel-based” methods to rigorous data architecture

The Challenge: CSRD demands dozens of new quantitative and qualitative KPIs (circular economy, biodiversity, pollution). Current reliance on manual spreadsheets creates audit risks.



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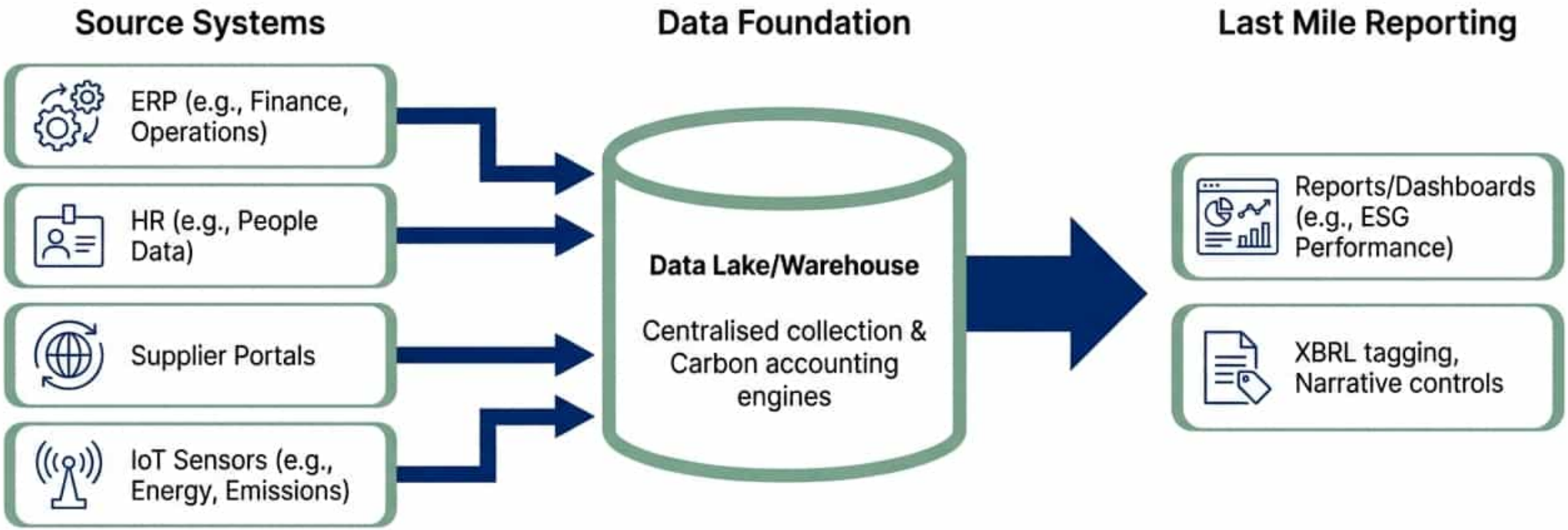
Designing the 'Last Mile' of reporting: An integrated technology architecture



Traceability and Lineage: Systems must handle qualitative narrative text with the same rigour as quantitative numbers.

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The AI Paradox: Balancing corporate optimism with the public's 'Enthusiasm Gap'

The Strategic Insight:

Companies face a 35-point trust deficit. Successful AI adoption in ESG requires addressing 'Social' risks—workforce displacement and ethics—while leveraging 'Environmental' benefits.

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AI is a dual-edged sword: An enabler of reporting efficiency and a consumer of resources.

The Handprint (Value Creation)

Carbon Accounting: Automating Scope 1, 2, & 3 calculations.

Anomaly Detection: Identifying outliers in vast datasets.

Document Digitisation: Extracting data from invoices for audit trails.

The Footprint (Risk & Cost)

Human-in-the-loop: Essential for AI-generated disclosures to prevent hallucinations.

Energy Consumption: Training large models requires massive power; this footprint must be accounted for in Net Zero targets.

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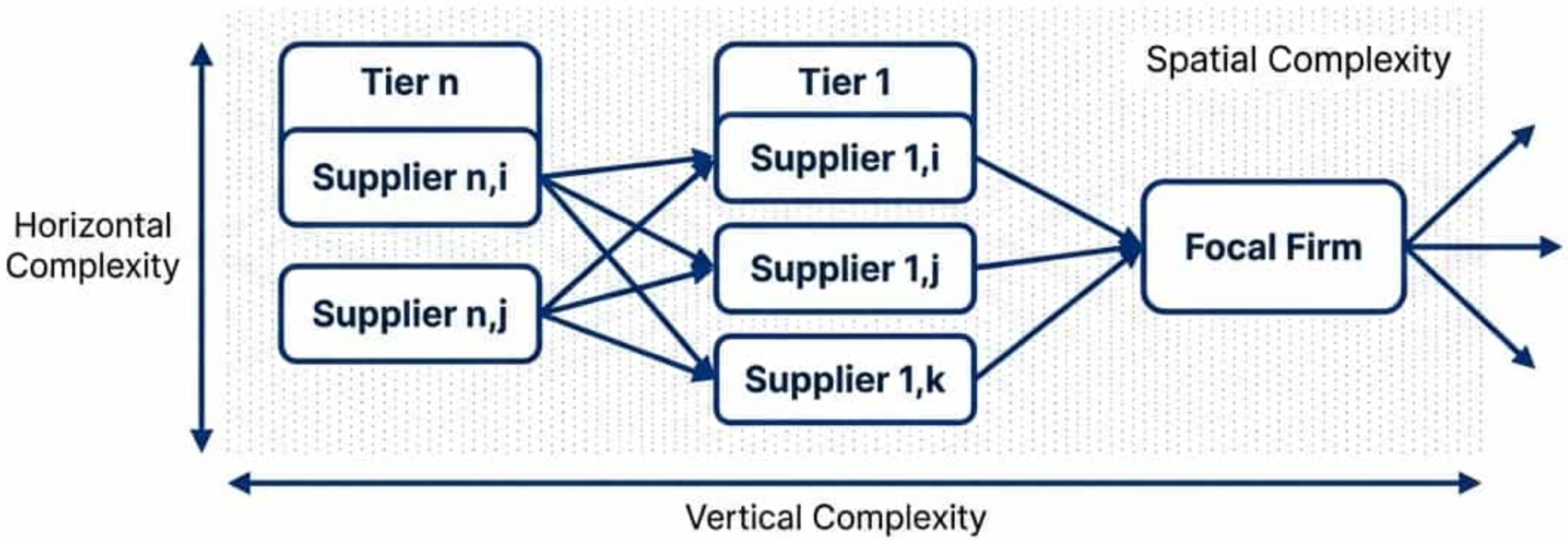
The Hidden Iceberg: Structural complexity in the upstream supply chain obscures ESG risks.



The Spillover Effect

Research confirms that a supplier's bad behaviour (e.g., human rights violations) creates direct reputational damage for the focal firm.

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Mitigating the ‘Spillover Effect’ through enhanced visibility and risk analysis.

Case Study: Nestlé & Ivory Coast

Issue: Child labour found in lower-tier cocoa farms (Tier-n).

Consequence: Severe ESG controversy rating (1/10 score), reputational damage, and ethical failure despite corporate policies.

Root Cause: High vertical and spatial complexity prevented detection.

The COSO Solution (Principle 7)

1. Define boundaries of ‘Control’ vs. ‘Influence’.

2. Assess reliance on third-party data (Scope 3).

3. Use blockchain or digital twins to create a traceable audit trail.

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Integrated Governance: Operationalising the 'Three Lines Model' for ESG.

Goal: Break down silos. Integrated thinking requires these lines to collaborate on a single source of truth.

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The Path to Assurance: Preparing for the shift from “Limited” to “Reasonable” scrutiny

Limited Assurance

The auditor states they “found nothing wrong” (Negative assurance). Based on inquiry and review.

Reasonable Assurance

The auditor states the data “is fairly presented” (Positive assurance). Based on examination, testing of controls, and evidence.

Critical Enablers

IT General Controls (ITGC): Security, access control, and change management for systems hosting ESG data. If it isn’t documented, it didn’t happen.

“Assurance will only work and be affordable if we have a system of control and digitized data.”

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A Strategic Roadmap: Moving from Level 1 manual efforts to Level 5 integrated automation

Level 1 (Ad-hoc)

Excel-based, manual collection, high effort, low auditability

Level 3 (Managed)

Standardised policies, medium integration, pipelines built

Level 5 (Optimised)

Integrated in Business as Usual, real-time data, automated calculation, full audit trail

Start with a Data Readiness & Operational Gap Assessment to identify your position

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Conclusion: Effective internal control is not just about compliance; it is about value preservation.

Governance: COSO provides the structure.

Tech: Data architecture provides the evidence.

Assurance: Independent audit provides the confidence.

Trust is the currency of the future economy. Reliable ESG data, secured by COSO and enabled by technology, is the only way to build and maintain that trust with investors, employees, and the public.

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